

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

Exploring a CentraCare DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS

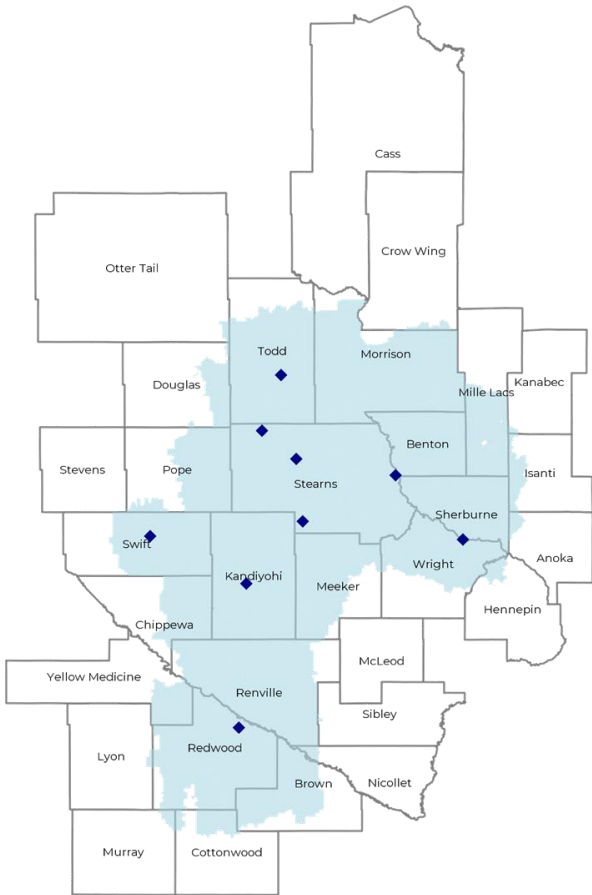


SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

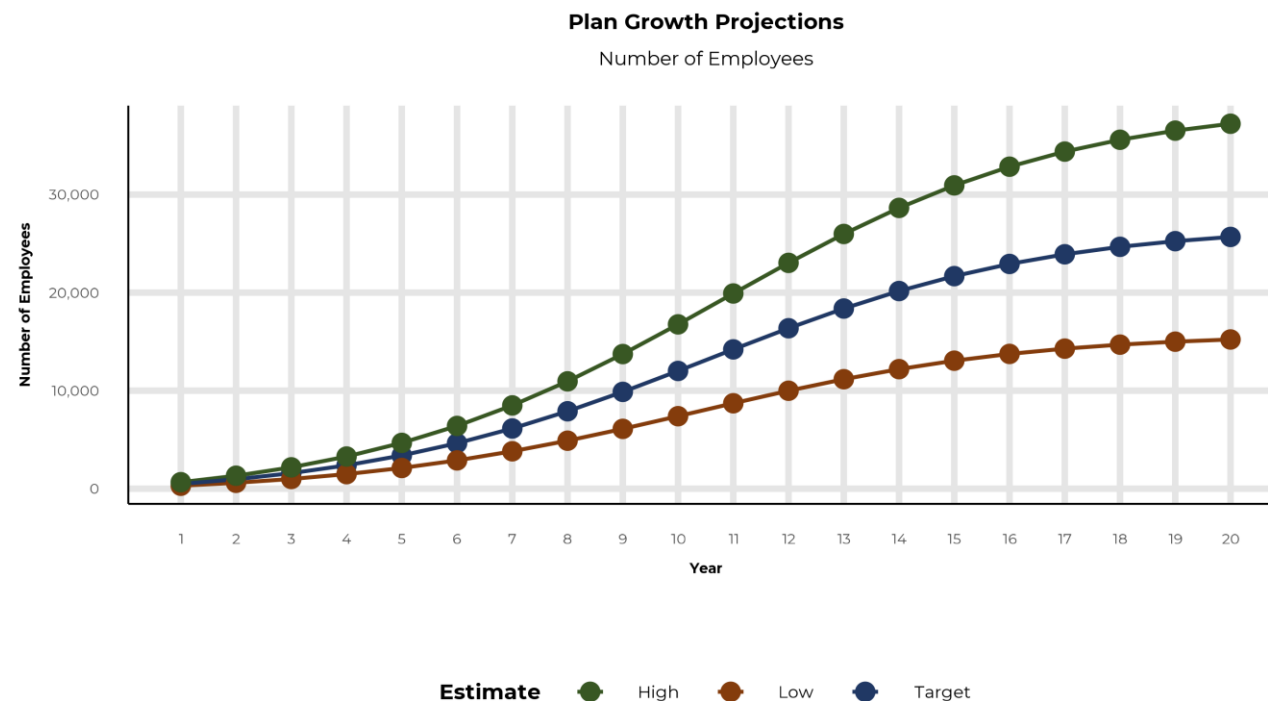
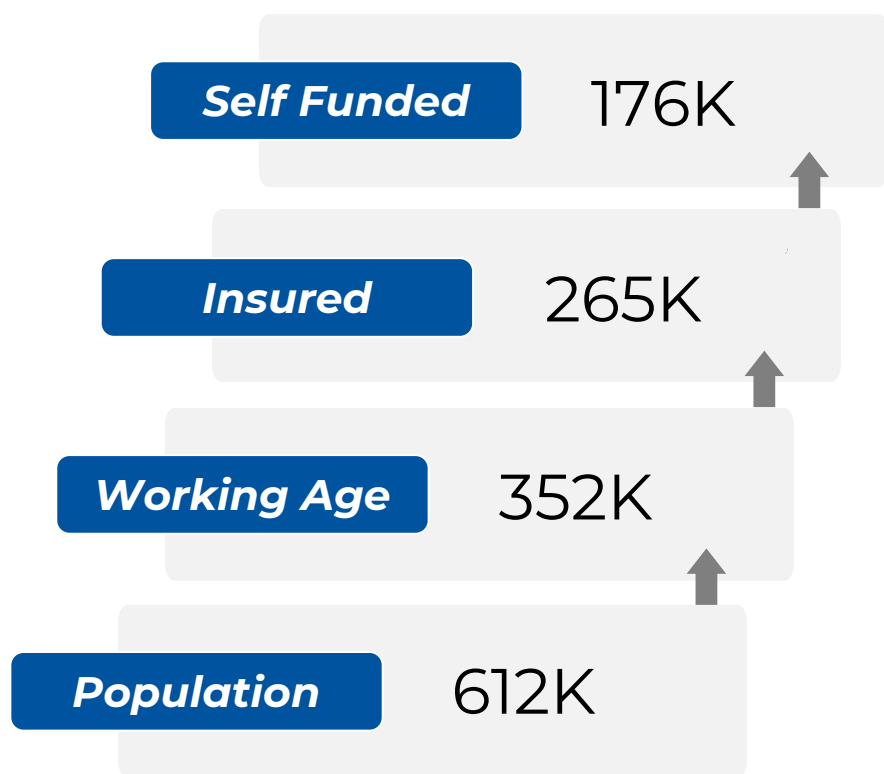
Target Market

700+ Employers ➤ 150,000+ Employees ➤ 270,000+ Members



Commercial Employers With Headquarters In Catchment Area	Employer Size Group (# of Employees)					
	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	413	132	92	63	15	8
Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	31,000	19,800	27,600	44,100	30,000	48,000
Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	55,800	35,600	49,700	79,400	54,000	86,400

PLAN POTENTIAL GROWTH PATHS



Estimates includes the CentraCare Health System service area in Benton, Brown, Chippewa, Douglas, Hennepin, Kandiyohi, Meeker, Mille Lacs, Morrison, Pope, Redwood, Renville, Sherburne, Stearns, Swift, Todd, Wright, and Yellow Medicine Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$6.09M** New Profit: **\$0.97M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$34.99M** New Profit: **\$6.55M**

Mature Stage

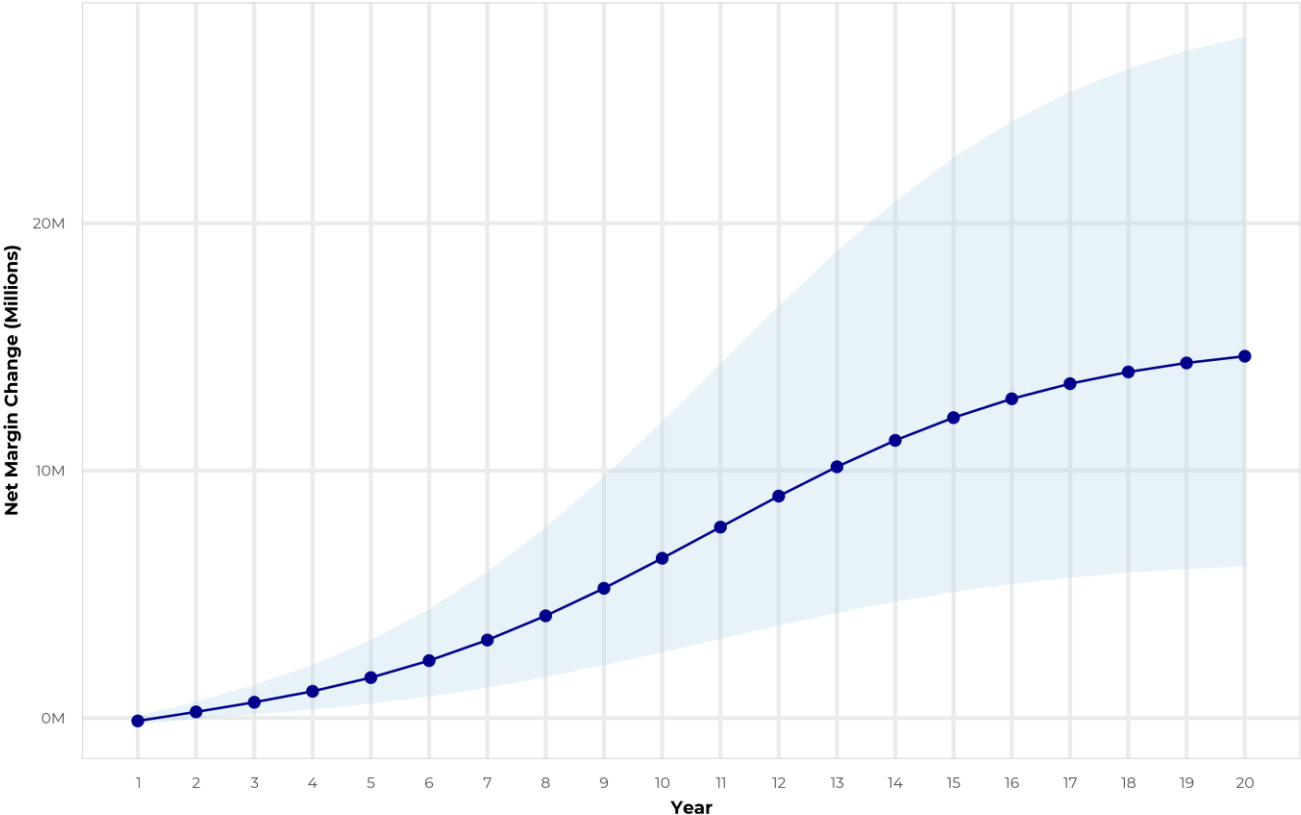
High Profitability, Market Saturation

New Revenue: **\$69.94M** New Profit: **\$13.25M**

Net Margin Change Over Years

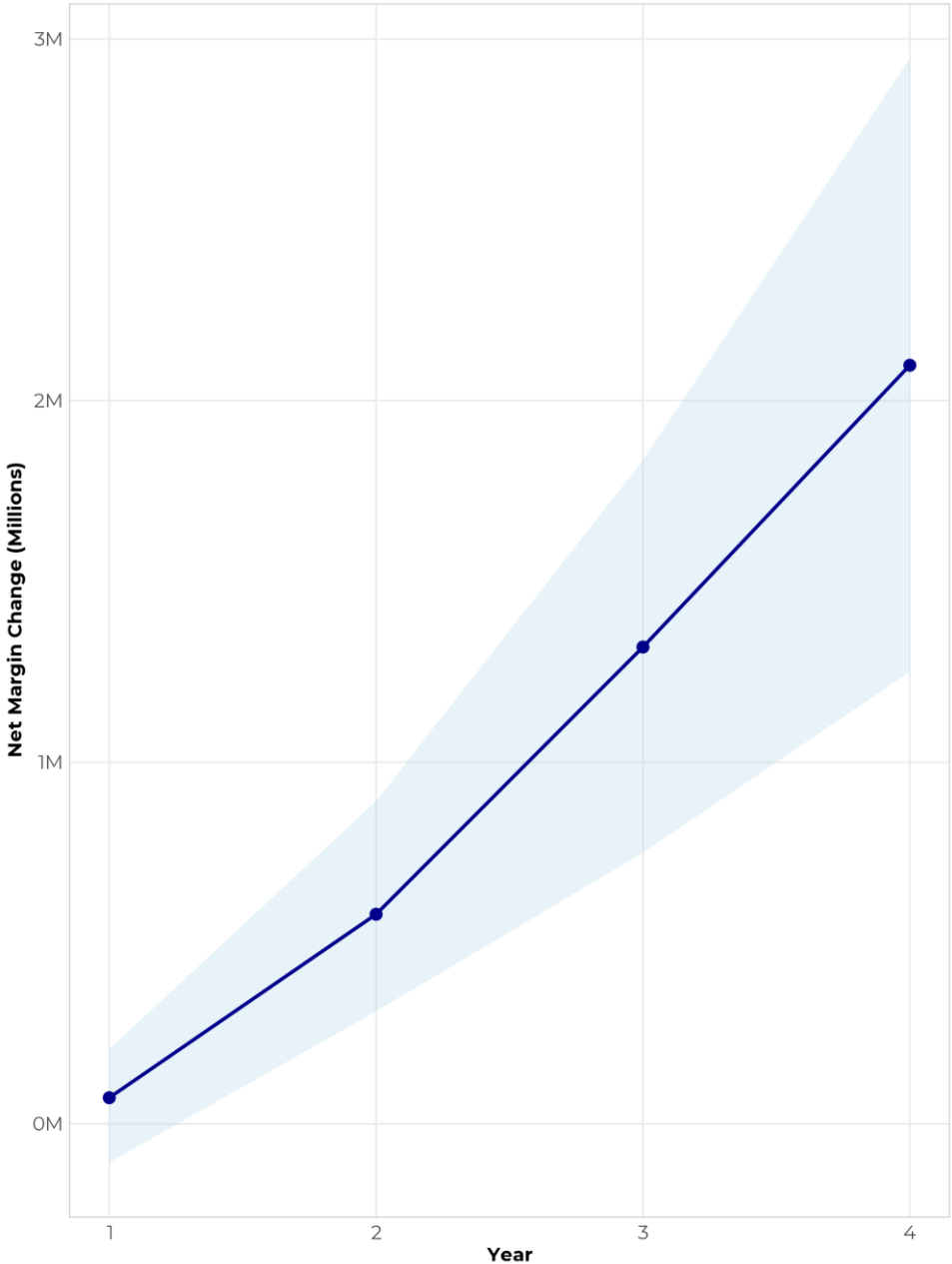
Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 18.4%



FOUR-YEAR PROJECTIONS

Net Margin Change Over Years
Variation by Member Growth With Target Estimate Assuming
50%+ Within-Plan Steerage and a Commercial Margin of 18.4%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	900	1,700	2,900	4,300
Incremental Margin	391.3K	739.2K	1,463.8K	2,226.2K
Network Access Fee	10.8K	20.4K	34.8K	51.6K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	72.1K	579.6K	1,318.6K	2,097.8K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,200	2,400	3,900	5,900
Incremental Margin	521.8K	1,043.6K	1,968.5K	3,054.6K
Network Access Fee	14.4K	28.8K	46.8K	70.8K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	206.2K	892.4K	1,835.3K	2,945.4K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	500	1,100	1,800	2,700
Incremental Margin	217.4K	478.3K	908.6K	1,397.9K
Network Access Fee	6.0K	13.2K	21.6K	32.4K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	-106.6K	311.5K	750.2K	1,250.3K

The Key Incentive Plan

Base Medical + Preferred Plus Benefits = Your Deductible Can Simply Vanish

Example: Member with a \$2,500 deductible / \$4,500 max out-of-pocket has a heart attack and cardiac surgery, resulting in a 5-day in-patient stay. In this example, the member would have a \$4,500 OOP with \$5,050 Preferred Plus Benefits for a **net OOP \$0 due to the preferred provider versus \$4,500 OOP exposure at any non-preferred provider.**

BASE MEDICAL BENEFITS*		PREFERRED PLUS BENEFITS		
Deductible		Benefits automatically included in your plan!		
Single	\$2,500		Preferred Provider	Non-Preferred Provider
Family	\$4,500	OP Radiology/X-Ray	\$200	\$0
Coinsurance		OP Diagnostic Labs	\$100	\$0
80% / 20%		Preferred Hospital Stay (\$500/day, 5 days)	\$2,500	\$0
Maximum Out-of-Pocket		Critical Illness Benefit	\$2,000	\$0
Single	\$4,500	Health Screening Benefit	\$125	\$0
Family	\$9,000	Total Employee OOP	\$4,500	\$4,500
Chronic Disease Management Regimens of Care Covered at 100%		Preferred Plus Benefits	\$4,925	\$0
Healthcare Convenience Card to Cover Out-of-Pocket Expenses at 0% interest		Employee Amount Due to Provider	\$0	\$4,500
Health Guardian Account to help members manage their healthcare expenses at Preferred Providers		Additional Benefit Payable to the Health Guardian Account	\$425	\$0

*Base Medical Benefits are for illustration purposes only. Base benefits can be customized to meet client needs.

THE BENEFIT STEERING THE PATIENT TO CENTRACARE

What Will this Claim Cost Me?



CentraCare patients can have all out-of-pocket liability reduced to \$0!

KEY BENEFIT
ADMINISTRATORS

Explanation of Benefits	
Heart Attack, Cardiac Surgery	
THE CHARGES	
Medical Bills	\$25,000
Healthcare out-of-pocket due to provider	\$4,500
Since your out of pocket maximum has been met, the rest of your eligible charges this year will be paid at 100%	
THE CREDITS	
OP Radiology/X-Ray	\$200
OP Diagnostic Labs	\$100
Preferred Hospital Stay (\$500/day, 5 days)	\$2,500
Critical Illness Benefit	\$2,000
Health Screening Benefit	\$125
Benefit Total	\$4,925
Out of Pocket Paid to Hospital	(\$4,500)
Balance Paid to HGA	\$425

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing CentraCare for Inpatient Care	Percent of Members Choosing CentraCare for Outpatient Care
1	500	900	75%	65%
2	1,000	1,800	75%	65%
3	1,600	2,900	76%	70%
4	2,400	4,300	76%	71%
5	3,400	6,100	76%	71%
6	4,600	8,300	76%	71%
7	6,100	11,000	76%	72%
8	7,900	14,200	76%	72%
9	9,900	17,800	76%	72%
10	12,000	21,600	76%	72%
11	14,200	25,600	76%	73%
12	16,400	29,500	76%	73%
13	18,400	33,100	76%	73%
14	20,200	36,400	76%	73%
15	21,700	39,100	76%	74%
16	22,900	41,200	77%	74%
17	23,900	43,000	77%	74%
18	24,700	44,500	77%	74%
19	25,200	45,400	77%	74%
20	25,700	46,300	77%	74%

KBA currently estimates that CentraCare Health System has 68% inpatient market share, and 36% outpatient market compared to hospitals/clinics in the CentraCare Health System service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to CentraCare Health System.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 4,300 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 8,083,803	\$ 7,830,154	\$ 3,656,615	\$ 19,570,573
Net Income‡	\$ 1,487,420	\$ 1,440,748	\$ 672,817.2	\$ 3,600,985

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 9,008,193	\$ 15,256,362	\$ 7,124,591	\$ 31,389,146
Net Income*	\$ 1,657,507	\$ 2,807,171	\$ 1,310,925	\$ 5,775,603

† Assuming proportional revenues from market shares of 68% (inpatient) and 36% (outpatient)

‡ Conservatively assuming a commercial margin of 18.4% (80% of the estimated commercial margin)

° Assuming 76% inpatient and 71% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 18.4%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 2,174,618
Network Access Fee (Revenue) of \$1 PMPM	\$ 51,600
Total Profit Growth	\$ 2,226,218
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 2,046,218

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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